

Czechia

Office for the Protection of Competition

The Office for the Protection of Competition (Office) is constantly trying to improve its efficiency in various areas and is therefore also involved in a number of initiatives and projects. These initiatives are described in more detail below.

Project Watson

The Office is currently testing a project, which aims to gather all the information sources that our employees work within a single platform so that it is easier to work with them. This tool should be able to search and find relevant results in many languages and filter unstructured data with the help of AI, so it should be able to evaluate relevance in an intelligent way. Our employees will then have greater comfort in terms of efficiency and speed of searching for resources. This project is not profitable, it only aims to secure more efficient search in resources, but at the same time, some searched pages are crawled by a robot and indexed into our program under certain keywords.

Project Datacross II

The Office has competence in the field of public procurement review and competition law including the punishment of bid-rigging agreements. We are very active and successful in bid-rigging detection and conduct plenty of dawn raids every year. Nevertheless, the Office is constantly trying to improve its methods, find new and more efficient ways of detection by testing different tools, software, etc., and keep up with the increasingly sophisticated practices of companies.

We are trying to create detection methods for use in practice, we have staff who focus directly on this issue. The Office has previously participated in a project in which a program for downloading data from the Public Procurement Journal was created, and seeks to improve and explore other detection options. For example, we are currently focusing on the extension of the input database for bid-rigging detection, the creation of more advanced tests for detection, based on econometric tests and machine learning algorithms.

The above is also the reason why we decided to participate in the project Datacross II. In the case of this project, we see the potential to point out the risks of prohibited agreements in certain areas. We will be able to trace the real owners of the company and also obtain relevant information to reveal especially ownership structures. With this project, the Office can be even more successful in detecting in bid-rigging detection.

The participation of the Office in another project to detect bid-rigging

The Office did participate in a project that led to the creation of a software tool to detect bid-rigging. The system mainly consists of a program created in the R language, which contains several methods that can be used to test data related to public procurement (which should be published in the public procurement journal) and to detect possible indicators indicating the presence of bid-rigging agreements.

The system was used in practice to justify a dawn raid in an investigation of stone sourcing contracts, which was eventually discontinued because although the system found significant disparities between some of the competing gravel and sand supply prices, a further detailed investigation showed that the quality of the required gravel was not sufficiently differentiated in the contracts, which caused different prices, and the system therefore indicated possible collusion.

Subsequently, during further testing and implementation at the Office, it turned out that the detection tool works only with limited data sets, which were not available in the necessary quality for its results to be more widely applicable. Nevertheless, we are currently working with the Ministry of Regional Development on a project aimed at obtaining better data on public procurement contracts (see below). If we manage to obtain more data, then we will continue/renew the bid-rigging detection project.

The participation of the Office in the project Strategy for Electronic Public Procurement for the period 2021-2025, in cooperation with the Ministry of Regional Development

The Office is actively involved in the preparation of the strategy. Its key activities will consist mainly of methodological and awareness-raising support or the provision of know-how in the field of procurement or competition protection. The aim of this project is also to ensure the design of a system aimed at obtaining relevant data to detect bid rigging, as well as compliance with OECD recommendations on public procurement to reduce the risk of bid-rigging.

The project on the building of an EC competition law decisions database

The Office has supported the project of building a fully searchable European Commission competition law decisions database. Its implementation is to be carried out by a team from the University of Leeds led by Professor Konstantinos Stylianou with support from the Oxford Economic and Social Research Council (ESRC).

The participation of the Office in the project CERTIFIX

The offer of cooperation in the use of the platform for the disambiguation of ownership structures has existed since 2017. The electronic tool has long been offered for all the Office's agendas. The developer offered the Office mainly an

unpaid version of the platform, ad hoc disambiguation of ownership structures at the request of the Office, or the development of a separate application only for his needs. The presentation of the project took place at the Office in September 2019 (with the participation of representatives of all departments). Currently, the Department of Methodology and Supervision of Market Power has detailed a material on ownership structure disambiguation and a methodological manual. Cooperation with the (now) TXP Association z.s. is still ongoing.